

Don't make yourself miserable!

Most of the time, when you cut a bit of spending from your life, you'll find that you never miss it. However, there are times when you find yourself really regretting it. If that's the case, then it's probably a worthwhile expense for you. Saving money doesn't have to equate to misery; it just means that you cut down on the unnecessary.

But don't forget the big picture

That, of course, doesn't mean that you should justify every purchase with a basic "I want it and I have money in my account." That shouldn't ever be enough to motivate a purchase. I find that using a visual reminder in my wallet of what I'm financially working toward does a great job of keeping my mind on the big picture and helping me filter out what's really needed and what's just a fleeting desire.

4. Manage money

Whenever you increase your income or decrease your spending, you'll find yourself with more cash at the end of the month. That cash is your ticket to financial freedom, and the more you can get each month, the better off you are. The trick, though, is to not spend it, but to do things that will

build a stable future for you. Here's the game plan.

Pay off all high-interest debt, such as credit cards

Anything with an interest rate over 9% needs to go as soon as possible. Use the extra money to make double or triple payments on these debts, focusing first on the one with the highest interest rate. When that one's gone, keep going with each successively lower interest rate debt. This is akin to Dave Ramsey's popular "debt snowball" plan.

Build an emergency fund

An emergency fund is an amount of money you keep in a savings account that's intended to be used in the event of a major crisis, such as a job loss, a medical emergency, major car damage, and so on. I usually suggest to people that they measure their emergency fund in terms of months' worth of living expenses—you should have a month and a half worth of living expenses for each person you claim as a dependent. So, for me in a house with two children and my wife, I have a six-month emergency fund.

Max out retirement

By this, I mean you should go to one of those retirement meetings at work, ask exactly how much you should be